

and founder of Moelis & Company, an independent investment-banking firm, has said of Icahn that he goes beyond betting against trends:³¹

He'll buy at the worst possible moment, when there's no reason to see a sunny side and no one agrees with him.

As we've seen, the research supports such a bet. In this light, Icahn's holdings are perfectly rational, as he explains:³²

The consensus thinking is generally wrong. If you go with a trend, the momentum always falls apart on you. So I buy companies that are not glamorous and usually out of favor. It's even better if the whole industry is out of favor.

In July 2013, some 38 years after he and Kingsley sat down at 25 Broadway to hash out the *Icahn Manifesto* activist strategy, Icahn appeared at the Delivering Alpha conference to discuss his latest investment. The interviewer, CNBC's Scott Wapner, asked Icahn why he was pursuing Dell, Inc., the "build-to-order" personal computer manufacturer, in the midst of a buyout offer from its founder Michael Dell, "There are those who are looking at this entire situation and saying, 'Carl, you don't really want Dell, do you? Why do you want this business? It's a dying business. Are you just trying to get to [Michael] Dell to bump his offer?'" Asserting that his investment philosophy remained unchanged at 77 years of age, he said:³³

My whole history if you look at it, is not to buy businesses that are great. I don't pay retail. I go in when people say they're terrible. It's really the old Graham-and-Dodd philosophy. You go in when nobody likes it, but it's still ok. . . . A lot of analysts miss this stuff.

As he had many times before, Icahn again acknowledged the intellectual underpinnings of his *Icahn Manifesto* strategy as Benjamin Graham and David Dodd's *Security Analysis*, and revealed that his brand of deep value activism is as old as value investing itself.

Notes

1. United States Government Printing Office. Washington. 1955. Available at http://www4.gsb.columbia.edu/filemgr?file_id=131668.
2. Carl Icahn and Robert Shiller. "Financial Markets (ECON 252) Guest Lecture." *Yale University*, November 19, 2008.